

Multiple Choice

1. **Answer:** A

Options: A) Establishing minimum standards, providing public services, setting forth laws; B) Funding education, providing healthcare, controlling inflation; C) Printing money, establishing trade agreements, military defense

Note: Correct option: A - Establishing minimum standards, providing public services, setting forth laws

2. **Answer:** C

Options: A) Purchasing power increases and more goods can be purchased with the same amount of money.; B) Purchasing power remains the same.; C) Purchasing power decreases and less goods can be purchased with the same amount of money.; D) Purchasing power fluctuates unpredictably.

Note: Correct option: C - Purchasing power decreases and less goods can be purchased with the same amount of money.

3. **Answer:** A

Options: A) supply falls, increasing the price and increasing the quantity.; B) demand rises, decreasing the price and increasing the quantity.; C) demand rises, increasing the price and decreasing the quantity.; D) demand falls, decreasing the price and increasing the quantity.; E) supply rises, decreasing the price and increasing the quantity.

Note: Correct option: A - supply falls, increasing the price and increasing the quantity.

4. **Answer:** D

Options: A) efficiency is achieved; B) there is no opportunity cost; C) utility is maximized; D) resources are not specialized; E) there is economic growth

Note: Correct option: D - resources are not specialized

5. **Answer:** A

Options: A) Higher interest rates that result from borrowing to conduct contractionary fiscal policy; B) Lower interest rates that result from borrowing to conduct expansionary monetary policy; C) Lower interest rates due to borrowing to conduct contractionary fiscal policy; D) Lower interest rates resulting from reduced borrowing due to expansionary fiscal policy; E) Lower interest rates due to increased borrowing to conduct expansionary monetary policy

Note: Correct option: A - Higher interest rates that result from borrowing to conduct contractionary fiscal policy

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'incorporates current year quantities in its calculations'.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '3 times per year'.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Supply shifts to the left; demand shifts to the right'.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'A short term investment strategy'.

Long Form Response

11. **Answer:** \$70,000 per year. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** (iii) and (iv) only. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key